CA FINAL AFM: INDEX

CHAPTER – 01: FINANCIAL POLICY AND CORPORATE STRATEGY

ICAI S.M. Page No.	Pavan Sir Book		Description
	Question Bank	Concept Book	
1.1	--	8.3	Advanced Role of CFO in Various Matters Including Value Creation
1.2	--	8.1	Strategic Financial Decision-Making Framework
1.5	--	8.1	Strategy at Different Hierarchy Levels, Corporate Level, Business Unit Level & Functional Level
1.6	--	8.2	Financial Planning
1.7	--	8.2	Interface of Financial Policy and Strategic Management
1.8	--	8.2	Balancing Financial Goals VIS-À-VIS Sustainable Growth
1.9	--	8.2	Sustainable Growth Rate
1.12	8.10	8.2	External Funding Requirement (EFR)

CHAPTER – 02: RISK MANAGEMENT

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
2.1	6.6	--	Identification of Types of Risk Faced by an Organization, Strategic Risk, Compliance Risk, Operational Risk, Financial Risk etc.
2.4	6.6	--	Evaluation of Financial Risk
2.4	6.7	--	Value-At-Risk (VAR)
2.5	--	--	Features of VAR
2.5	--	--	Application of VAR
2.6	6.10	--	Examples
2.6	6.80	--	Appropriate Methods for Identification And Management of Financial Risk, Counter Party Risk, Political Risk, Interest Rate Risk, Currency Risk.
--	--	41	MCQ's (Case Scenario 21)

CHAPTER – 03: ADVANCED CAPITAL BUDGETING DECISIONS

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
3.2	12.1	--	Impact of Inflation on Capital Budgeting Decisions
3.7	--	--	Impact of Change in Technology on Capital Budgeting Decisions
3.8	--	--	Impact of Change in Government Policies on Capital Budgeting Decisions
3.9	--	--	Impact of Changes in Government Policies on Domestic Capital Budgeting Decisions & International.
3.10	--	--	Risk and Uncertainty
3.11	--	--	Internal and External Factors Affecting Capital Budgeting Decision
3.12	--	--	Methods of Incorporating Risk in Capital Budgeting
3.13	12.4	--	Statistical Techniques
3.20	12.9	--	Conventional Techniques
3.20	12.10	--	Risk Adjusted Discount Rate
3.22	12.12	--	Certainty Equivalent (CE)
3.24	--	--	Other Techniques
3.24	12.13	--	Sensitivity Analysis
3.28	12.31	--	Scenario Analysis

3.30	12.46	--	Simulation Analysis (Monte Carlo)
3.33	12.47	--	Decision Tree Analysis
3.37	12.49	--	Replacement Decision (Optimum Replacement Cycle)
3.41	13.27	--	Adjusted Present Value
--	--	60	MCQ's (Case Scenario 32 to 33)

CHAPTER – 04: SECURITY ANALYSIS

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
4.2	--	--	Introduction
4.2	--	--	Fundamental Analysis
4.4	--	--	Dividend Growth Model and the PE Multiple
4.5	--	--	Economic Analysis
4.5	--	--	Factors Affecting Economic Analysis
4.6	--	--	Techniques Used in Economic Analysis
4.7	--	--	Industry Analysis
4.8	--	--	Factors Affecting Industry Analysis
4.9	--	--	Techniques Used in Industry Analysis
4.10	--	--	Company Analysis
4.15	--	--	Technical Analysis
4.15	--	--	Meaning
4.16	--	--	Assumptions
4.16	--	--	Principles of Technical Analysis
4.17	--	--	Theories of Technical Analysis
4.17	--	--	The Dow Theory
4.18	--	--	Elliot Wave Theory
4.19	--	--	Random Walk Theory
4.20	--	--	Charting Techniques
4.22	--	--	Market Indicators
4.23	--	--	Support and Resistance Levels
4.25	--	--	Interpreting Price Patterns
4.28	--	--	Decision Using Data Analysis
4.30	--	--	Evaluation of Technical Analysis
4.31	--	--	Differences Between Fundamental Analysis and Technical Analysis
4.31	--	--	Efficient Market Theory (Efficient Market Hypothesis)
4.32	--	--	Search for Theory
4.32	--	--	Misconception about Efficient Market Theory
4.32	--	--	Level of Market Efficiency
4.33	--	--	Empirical Evidence on Weak from of Efficient Market Theory
4.33	--	--	Empirical Evidence on Semi-strong Efficient Market Theory
4.34	--	--	Empirical Evidence on Strong from of Efficient Market Theory
4.35	--	--	Challenges to the Efficient Market Theory
4.35	--	--	Equity Research and Tools Available
--	--	39	MCQ's (Case Scenario 20)

CHAPTER – 05: SECURITY VALUATION

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
5.6	12.10	--	Concept of Nominal Cash Flow and Real Cash Flow
5.7	--	11.30	Valuation of Equity Shares

5.7	11.45	11.31	Dividend Based Models, Earning Based Model & Cash Flow Based Models
5.11	14.13	14.3	Calculation of Free Cash Flow to Firm (FCFF)
5.13	14.31	14.30	Calculation of Free Cash Flow to Equity (FCFE)
5.14	14.28	--	Enterprise Value
5.15	11.74	11.35	Valuation of Rights
5.17	11.10	11.10	Bond Valuation Model
5.18	11.3	11.4	Yield to Maturity (YTM)
5.19	11.12	11.12	Duration of Bond
5.20	11.24	11.20	Immunization
5.20	11.40	11.26	Yield Curve & Term Structure
5.26	11.20	11.16	Convexity Adjustment
5.27	11.29	11.23	Convertible Debentures
5.28	11.36	11.26	Refunding of Bonds
5.29	11.78	11.37	Money Market Instruments, Call/Notice Money, Treasury Bills (TBs), Commercial Bills, Certificate of Deposit, Commercial Paper & REPO
5.34	--	--	Role and Responsibilities of Valuers
--	--	46	MCQ's (Case Scenario 23 to 31)

CHAPTER – 06: PORTFOLIO MANAGEMENT

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
6.9	--	1.1	Modern Approach (Markowitz Model or Risk-Return Optimization)
6.10	--	1.21	Types of Risk, Systematic Risk & Unsystematic Risk
6.17	1.20	1.23	Measurement of Systematic Risk
6.24	1.2	1.4	Portfolio Risk through Diversification on the Basis of Correlation.
6.30	--	--	Markowitz Model of Risk-Return Optimization
6.31	--	--	Assumptions of the Model
6.31	1.14	1.15	Efficient Frontier
6.34	--	1.17	Capital Market Theory
6.35	1.58	1.34	Single Index Model (Sharpe Index Model)
6.39	1.20	1.21	Capital Asset Pricing Model (CAPM)
6.45	1.55	1.32	Under Valued and Over Valued Stocks
6.47	--	--	Advantages and Limitations of CAPM
6.48	1.69	1.41	Arbitrage Pricing Theory Model (APT)
6.49	2.33	2.3	Portfolio Evaluation Methods, Sharpe Ratio, Treynor Ratio & Jensen Alpha
6.53	1.87	1.46	Sharpe's Optimal Portfolio
6.54	--	--	Formulation of Portfolio Strategy, Active Portfolio Strategy (APS) & Passive Portfolio Strategy
6.58	1.75	1.44	Portfolio Revision and Rebalancing
6.62	--	--	Fixed Income Portfolio
6.65	--	--	Alternative Investment Avenues
6.66	--	--	Real Estates
6.68	--	--	Distressed Securities
--	--	1	MCQ's (Case Scenario 1 to 6)

CHAPTER – 07: SECURITIZATION

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
7.3	--	9.2	Benefits of Securitization, From the Angle of Originator & From the

			Angle of Investor
7.4	--	9.1	Participants in Securitization, Primary Participants & Secondary Participants
7.6	--	9.1	Mechanism of Securitization
7.7	--	9.2	Problems in Securitization
7.8	--	9.3	Securitization Instruments, Pass Through Certificates (PTCs), Pay Through Security (PTS) & Stripped Securities
7.10	--	9.3	Pricing of the Securitized Instruments
7.10	--	9.4	Risk in Securitization
7.11	--	9.6	Tokenization
7.12	--	9.5	Blockchain
7.14	--	9.4	Securitization in India
--	--	44	MCQ's (Case Scenario 22)

CHAPTER – 08: MUTUAL FUND

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
8.4	--	--	Classification of Mutual Funds, Equity Funds, Debt Funds & Special Funds
8.9	--	--	Ownership Classification
8.9	--	--	Direct Plans in Mutual Funds
8.9	--	--	Types of Schemes
8.9	--	--	Balanced Funds
8.10	--	--	Diversified Equity Funds
8.11	--	--	Equity Linked Savings Scheme (ELSS)
8.11	--	--	Sector Funds
8.12	--	--	Thematic Funds
8.12	--	--	Arbitrage Funds
8.12	2.32	--	Hedge Fund
8.13	--	--	Cash Fund
8.13	--	--	Exchange Traded Funds
8.14	--	--	Fixed Maturity Plans
8.14	--	--	Advantages of Mutual Fund
8.16	--	--	Drawbacks of Mutual Fund
8.17	--	--	Terms Associated with Mutual Funds
8.17	2.1	2.1	Net Asset Value (NAV)
8.17	2.3	2.3	Entry and Exit Load in Mutual Funds
8.18	--	--	Trail Commission
8.18	2.8	--	Expense Ratio
8.19	--	--	Side Pocketing
8.19	--	2.40	Tracking Error
8.20	--	--	Evaluation of Mutual Funds
8.23	--	--	Role of Fund Managers in Mutual Funds
8.24	--	--	Role of FIIS in Mutual Funds
--	--	11	MCQ's (Case Scenario 7 to 10)

CHAPTER – 09: DERIVATIVES ANALYSIS AND VALUATION

ICAI S.M. Page No.	Pavan Sir Books		Topics
	Question Bank	Concept Book	
9.3	--	3.20	Forward & Future Contract
9.6	3.28	3.22	Pricing/Valuation of Forward/Future Contracts

9.9	--	--	Types of Futures Contracts
9.11	3.25	3.21	Trading Mechanism in Stock Futures
9.15	3.37	3.27	Advantages of Stock Index Futures Trading Vs. Stock Futures Trading
9.16	--	--	Uses/Advantages of Stock Index Futures
9.18	3.1	3.1	Options
9.23	3.9	3.8	Option Valuation Techniques, Binomial Model & Risk Neutral Method
9.27	3.19	3.19	Black-Scholes Model
9.32	--	3.47	Greeks, Delta, Gamma, Theta, Rho etc.
9.35	--	3.42	Exotic Options
9.36	--	3.43	Credit Derivatives, Collateralized Debt Obligations (CDOS)
9.41	3.56	3.34	Real Options
9.47	3.53	3.34	Commodity Derivatives
9.55	--	3.34	Hedging with Commodity Derivatives
9.55	--	3.45	Weather Derivatives
9.57	--	3.45	Electricity Derivatives
9.59	--	3.45	Derivatives Mishaps and Lessons
9.62	--	3.47	Lessons from Derivatives Mishaps
--	--	18	MCQ's (Case Scenario 11 to 14)

CHAPTER – 10: FOREIGN EXCHANGE EXPOSURE AND RISK MANAGEMENT

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
10.4	--	--	Role of Swift in Foreign Exchange
10.5	--	--	National and International Payment Gateways
10.7	5.79	5.54	Nostro, Vostro and Loro Accounts
10.9	--	5.1	Exchange Rate Quotation
10.10	--	5.7	Cross Rates
10.11	--	5.15	Pips
10.11	--	5.15	Forward Exchange Rate Quotation
10.13	--	--	Broken Period Forward Rate
10.14	--	5.7	Merchant Rates
10.15	5.25	5.21	Exchange Rate Forecasting (IRP & PPP)
10.20	5.32	5.31	International Fisher Effect (IFE)
10.24	--	5.33	Foreign Exchange Exposure
10.25	--	--	Transaction Exposure, Translation Exposure & Economic Exposure
10.32	5.7	5.13	Forward Contract
10.33	5.62	5.50	Fate of Forward Contracts
10.43	5.96	--	Non-Deliverable Forward Contract
10.44	--	--	Rollover of Deliverable Forward Contract
10.44	5.47	5.40	Futures Contracts
10.45	5.52	5.45	Option Contracts
10.47	--	5.92	Swap Contracts
10.49	--	--	Popular Derivative Products
10.49	--	--	Forward Importer
10.50	--	--	Forward Exporter
10.51	--	--	FX Call Option
10.52	4.16	--	IRS USD Floating to Fixed
10.53	--	--	Strategies for Exposure Management
10.54	--	--	High Risk: Low Reward
--	--	29	MCQ's (Case Scenario 16 to 19)

CHAPTER – 11: INTERNATIONAL FINANCIAL MANAGEMENT

ICAI S.M. Page No.	Pavan Sir Books		Descriptions
	Question Bank	Concept Book	
11.1	13.1	13.1	International Capital Budgeting
11.2	--	--	Problems Affecting Foreign Investment Analysis
11.3	--	--	Project vis-à-vis Parent Cash Flows
11.3	--	--	Discount Rate and Adjusting Cash Flows
11.4	13.27	--	Adjusted Present Value (APV)
11.5	--	--	Scenarios
11.16	--	--	International Sources of Finance
11.16	--	--	Foreign Currency Convertible Bonds (FCCBs)
11.17	13.24	13.3	American Depository Receipts (ADRs)
11.17	--	--	Global Depository Receipts (GDRs)
11.20	--	--	Euro-Convertible Bonds (ECBs)
11.22	--	--	International Financial Centre (Gift City)
11.23	--	--	Gift City – India's International Financial Services Centre
11.24	--	--	Sovereign Funds
11.25	--	--	International Working Capital Management
11.26	5.81	--	Multinational Cash Management
11.29	--	--	Accelerating Cash Inflows
11.29	--	--	Managing Blocked Funds
11.29	5.36	--	Leading and Lagging
11.30	--	--	Minimizing Tax on Cash Flows Through Transfer Pricing Mechanism
11.30	--	5.37	Netting
11.32	5.88	--	Investing Excess Cash
11.33	--	--	International Inventory Management
11.33	--	--	International Receivables Management

CHAPTER – 12: INTEREST RATE RISK MANAGEMENT

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
12.2	--	4.1	Benchmark Rates
12.4	--	--	Types of Interest Rate Risk, Gap Exposure, Basis Risk, Embedded Option Risk, Yield Curve Risk, Price Risk & Reinvestment Risk
12.6	--	--	Measuring Interest Rate Risk
12.7	--	--	Hedging Interest Rate Risk
12.7	--	--	Traditional Methods
12.7	--	--	Asset and Liability Management (ALM)
12.8	4.1	4.2	Forward Rate Agreement (FRAs)
12.10	4.8	4.8	Interest Rate Futures
12.11	4.6	4.8	Interest Rate Options
12.11	4.21	4.12	Cap, Collor & Floor
12.14	4.10	4.9	Interest Rate Swap
12.15	--	--	Types of Swap
12.16	--	--	Swaptions
--	--	27	MCQ's (Case Scenario 15)

CHAPTER – 13: BUSINESS VALUATION

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
13.5	14.23	14.3	Approaches/Methods of Valuation, Asset Based Approach, Net Asset Value, Net Realizable Value, Replaceable Value & Income Based Approach
13.9	14.13	14.3	Cash Flow Based Approach
13.12	14.39	14.8	Estimating Beta and Valuation of Unlisted Companies
13.15	14.28	--	Relative Valuation
13.19	--	--	Contemporary Approaches to Valuation
13.21	14.30	--	Chop-Shop Method
13.23	14.1	14.1	Economic Value Added (EVA)
13.25	14.1	14.1	Market Value Added (MVA)
13.26	14.1	14.1	Shareholder Value Analysis (SVA)
13.28	--	--	Arriving at Fair Value
13.29	--	--	Going Concern and Non-Going Concern Valuation
13.29	--	14.13	Valuation of Distressed Companies
13.30	--	14.16	Modified Discounted Cash Flow Valuation
13.31	--	14.14	DCF Valuation + Distress Value
13.31	--	14.15	Adjusted Present Value Model
13.32	--	14.17	Relative Valuation
13.32	--	14.20	Valuation of Startups
13.34	--	14.20	Value Drivers for Startups
13.35	--	14.21	Methods for Valuing Startups
13.35	--	14.25	Berkus Approach
13.35	--	14.25	Cost-to-Duplicate Approach
13.35	--	14.23	Comparable Transactions Method
13.36	--	14.23	Scorecard Valuation Method
13.36	--	14.25	First Chicago Method
13.37	--	14.21	Venture Capital Method
13.37	--	14.26	Valuation of Digital Platforms
13.38	--	14.27	Income Approach
13.39	--	14.28	Discounting Rate
13.40	--	14.28	Specific Considerations
13.40	--	14.29	Market Approach
13.41	--	14.30	Cost Approach
13.42	--	14.31	Valuation of Professional/Consultancy Firms
13.43	--	14.32	Impact of ESG on Valuation
--	--	65	MCQ's (Case Scenario 34)

CHAPTER – 14

MERGERS, ACQUISITIONS & CORPORATE RESTRUCTURING

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
14.6	--	--	Forms (Types) of Mergers
14.8	15.1	15.1	Gains from Mergers or Synergy
14.10	--	--	Scheme of Amalgamations or Merger
14.10	--	--	Financial Evaluation

14.11	--	--	Arranging Finance for Acquisition
14.11	--	--	Takeover Defensive Tactics
14.11	--	--	Take Over Strategies
14.12	--	--	Defensive Tactics
14.13	--	--	Reverse Merger
14.14	--	--	Divestiture
14.14	--	--	Seller's Perspective
14.15	--	--	Different Forms
14.15	--	--	Sell off/Partial Sell off
14.15	--	--	Spin-off
14.16	--	--	Split-up
14.16	--	--	Equity Carve Outs
14.17	--	--	Demerger or Division of Family-Managed Business
14.17	--	--	Financial Restructuring
14.21	--	--	Ownership Restructuring
14.21	--	--	Going Private
14.21	--	--	Management Buyouts
14.21	--	--	Leveraged Buyout (LBO)
14.22	--	--	Equity Buyback
14.24	--	--	Unlocking the Value Through Mergers & Acquisitions and Business Restructuring
14.24	--	--	Premium and Discount
14.25	--	--	Mergers and Acquisitions Failures
14.27	--	--	Acquisition Through Shares
14.31	--	--	Cross-Border M&A
14.32	--	--	Special Purpose Acquisitions Companies
--	--	68	MCQ's (Case Scenario 35 to 41)

CHAPTER – 15: STARTUP FINANCE

ICAI S.M. Page No.	Pavan Sir Books		Description
	Question Bank	Concept Book	
15.2	--	10.1	Some of the Innovative Ways to Finance a Startup
15.4	--	10.4	Pitch Presentation
15.7	--	10.5	Concept of Unicorn
15.11	--	10.1	Modes of Financing for Startups
15.11	--	10.1	Sources of Financing, Bootstrapping, Angel Investors & Ventures Capital Fund
15.14	--	10.2	Characteristics of Venture Capital Financing
15.14	--	10.2	Advantages of Bringing VC in the Company
15.14	--	10.2	Stages of Funding for VC
15.15	--	10.3	VC Investment Process
15.17	--	10.3	Venture Capital Funds in India
15.18	--	10.3	Structure of Venture Capital Fund in India
15.19	--	10.4	Startup India Initiative
15.22	--	10.5	Succession Planning in Business
15.23	--	10.5	Business Succession Strategy